

## **Reading Tehran II - The GCC Reset: What the Conflict with Iran Means for Corporate Strategy**

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### **Executive Summary**

Board Agora opened this Espresso Call at a precise moment in the conflict. Earlier that week, Qatar's former Prime Minister and Foreign Minister, Sheikh Hamad bin Jassim Al Thani – one of the most clear-eyed diplomatic voices in the Gulf – gave a wide-ranging interview in which he declared: "We are witnessing a major restructuring of the region." He called the weaponisation of the Strait of Hormuz the most dangerous outcome of the war – more dangerous, in his view, than Iran's nuclear programme – and warned that Iran is now treating that vital chokepoint as a strategic weapon. His most pointed assessment: the greatest threat to the Gulf is neither Iran, nor Israel, nor foreign military bases, but internal Gulf disunity.

Against that backdrop, Philippe opened the call with the question he put to the room: what if the model on which we all built our Gulf strategy was never as stable as we thought – and we simply didn't need to find out until now?

### **1. The Exposure of a Structural Absence**

Mehran opened with a clarification that reframed the nature of the event. What happened in the Gulf since late February 2026 was not a crisis in the conventional sense – a sharp external shock that disrupts a functioning system and eventually passes. It was the exposure of something that was already missing.

*The Gulf did not have a real regional security architecture to begin with. What existed was a fragile balance built on deterrence, external protection, and ad hoc diplomacy. That balance failed the moment the conflict became direct, sustained, and regional.*

For years, boardrooms and policymakers treated the Gulf as a region of political tension but economic continuity. The operative assumption was that however acute the geopolitics became, the core model would hold, ships would move through the Strait of Hormuz, flights would cross open airspace, ports would operate, capital would circulate, and governments would contain the politics before they affected the larger system.

The strikes on Dubai, Doha, and Manama showed that assumption no longer holds. That does not make the Gulf less central – it remains one of the most consequential regions in the world for energy, trade, logistics, aviation, finance, and sovereign

capital. But it means that the way the region must be understood has changed. And that change is a fact, not a perspective.

## 2. The Economic Fracture Lines

The economic consequences are already being measured in concrete terms, and they are not evenly distributed.

### DIFFERENTIATED ECONOMIC EXPOSURE ACROSS GCC STATES

- Qatar, Kuwait, and Bahrain – smaller and more directly exposed – face especially sharp contractions.
- The UAE will experience significant declines, though its diversification provides partial insulation.
- Saudi Arabia and Oman are relatively better positioned geographically, but neither is immune.
- Iran itself is already moving towards economic collapse.

### Food, water, and the Hormuz dependency

Food security is the clearest illustration of systemic vulnerability. The UAE, Qatar, Bahrain, and Kuwait import between 70% and 90% of their food supply. That dependence connects the region to tens of thousands of companies globally – many shipping perishable goods on tight delivery schedules that presuppose reliable maritime access.

With the Strait effectively disrupted for more than two months, more than 20,000 vessels have been rerouted or held. Governments and private actors responded rapidly – the UAE's Lulu Group chartered cargo flights from South Africa, India, Sri Lanka, and Kenya; Etihad managed to airlift 80 tons of food daily in the early weeks. But these are workarounds, not solutions.

Critically, food vulnerability cannot be separated from water vulnerability. In several Gulf states, more than 90% of municipal water comes from desalination – a process that depends on stable power supply and specialised chemicals that themselves depend on uninterrupted maritime logistics. When energy infrastructure is attacked, the desalination supply chain becomes vulnerable in ways that are rarely modelled in corporate risk frameworks.

### The perception economy

Beyond the physical infrastructure, the Gulf's development model has been built on an image: stability, continuity, connectivity. Dubai, Doha, and Abu Dhabi have spent decades establishing themselves as safe places to live, work, invest, and transit. That perception has direct economic value. It drives expatriate confidence, property

markets, business travel, tourism, and the willingness of international firms to base regional operations there.

The perception that Gulf cities can become, even temporarily, zones of active conflict, carries consequences that are harder to quantify than a delayed shipment – but no less real. The impact is uneven across the region, but no state is fully insulated.

### 3. The GCC Is Not One Thing

One of Mehran's most emphatic points – and one of the most practically important for boards with Gulf exposure – is a correction of the most persistent misunderstanding in international business: the idea that the GCC is a unified political actor with a coherent shared view of Iran and the war.

*The Gulf is not a sufficient risk category anymore. It never was. Exposure is regional, but it is also jurisdiction-specific and sector-specific.*

The six GCC states do not share a single reading of the conflict, a single preferred outcome, or a single approach to Iran. Each approaches the crisis through its own decision-making calculus – shaped by geography, demography, economic exposure, and historical relationship with Tehran. The war has not erased those differences. It has made them more visible.

#### HOW THE SIX GCC STATES ARE POSITIONED

- UAE and Saudi Arabia: reportedly conducted offensive retaliatory strikes on Iran; most vocal in demanding a conclusive end to the war – including dismantling Iran's proxy network, missile programme, and nuclear capability.
- Bahrain and Kuwait: taking the confrontational position diplomatically, challenging Iran on international stages, including the UN Security Council.
- Qatar and Oman: continuing to facilitate and mediate dialogue between Iran and the US, supporting the Pakistan-brokered ceasefire process.
- Internal UAE divergence: Abu Dhabi has historically held a securitised view of Iran; Dubai engaged economically even during peak tensions – a dual track that has shaped UAE policy for years.

The disagreement within the GCC is not new – it goes back 47 years to the Iranian Revolution. The GCC itself was established in 1981 partly in response to the Iran-Iraq War but never managed to produce a unified position on Iran even then. Oman, since the organisation's founding meetings, consistently argued that geography demands coexistence with a regional neighbour. Qatar's Foreign Ministry spokesperson repeated this line as recently as last week.

What has changed is that the divergence is now operating under acute pressure, with real consequences: the UAE has reportedly removed itself from OPEC and is signalling a reshuffling of international partnerships in response to what it sees as insufficient support from allies during the conflict.

#### **4. Hormuz – Not Binary**

The Strait of Hormuz has dominated headlines, but Mehran offered a more precise framing that has direct implications for corporate risk modelling.

*The lesson of this war is not just that Hormuz could be closed. The deeper lesson is that disruption short of closure can produce many of the same effects. Insurance costs rise, operators hesitate, shipping slows, uncertainty spreads.*

Most board-level discussions still treat Hormuz as a binary – open or closed. Mehran's assessment is that this framing is insufficient. The real question is whether the Strait continues to function normally. Prolonged disruption, even without formal closure, can matter almost as much as closure in terms of cost, timing, and risk.

His assessment on the trajectory: if some form of agreement ends the war, Hormuz will likely return broadly to its pre-war operational status. Wartime behaviour should not automatically be treated as a permanent condition. But Iran will almost certainly continue to use leverage over the Strait as a negotiating tool in the post-conflict environment – both with the US and with the GCC states.

Oman's role matters enormously here and is consistently underestimated. Muscat's engagement with Iran should not be confused with endorsement of Iranian coercive control over the waterway. Oman's own interests are tied to uninterrupted passage, regional credibility, and broader international confidence – and Oman is the other country that shares territorial waters over the Strait.

For boards, the correct question is not simply whether Hormuz closes. It is: how much disruption, uncertainty, or coercive pressure can our operations absorb before it materially alters cost, timing, and risk?

#### **5. Beyond the Military Frame**

Mehran stressed that this is not only a military story. The missiles and drones matter – but the deeper significance of the war is what it has exposed around them: the fragility of the wider operating environment on which commercial viability depends.

Food imports, desalination systems, ports, airspace, shipping routes, logistics infrastructure, digital infrastructure, banking confidence, tourism, and the broader

reputation of the Gulf as a stable place to live, work, and do business – all of these are part of the system. This is not a security issue in the narrow sense. It is a question about the continuity of the systems that make the Gulf commercially viable for the world.

## GOVERNANCE QUESTIONS BOARDS SHOULD BE ASKING NOW

- Can people move? Can goods move reliably? Can suppliers deliver?
- Can airspace disruption affect your operations, even without Hormuz closure?
- Can maritime disruption become a cost problem without formal closure of the Strait?
- Can insurance, staffing, and counterparty confidence change faster than your operating assumptions?
- Do not ask only whether your assets are safe. Ask whether the ecosystem around them can still function predictably under stress.

## 6. Crisis or New Baseline?

One of the session's most consequential exchanges concerned the framing of the moment itself. Is this a crisis – a disruption to be managed until normalcy returns – or a new baseline?

*We are in a new baseline. Not a baseline of collapse or endless acute war, but one in which a core assumption behind the Gulf model has been broken, and a new one is taking shape.*

Before the conflict, the operative assumption was that even when tensions rose, key systems would remain broadly functional. Now it is known that Gulf cities, infrastructure, and connectivity can be drawn directly into regional conflict. Once that has happened, it becomes part of the planning horizon permanently.

Even if the region de-escalates – and Mehran expects some form of de-escalation, because the costs of sustained war are too high for all parties – the business environment will not simply revert to what it was before. Operations may normalise faster than assumptions do. Ports may recover faster than confidence does. Flights may return faster than insurance premiums or board risk reassessments allow.

The right question is therefore not whether the Gulf remains strategically important – it clearly does. The question is whether firms can absorb the cost of operating on outdated assumptions about how stable it is, and how politics and business interact within it.

## **7. The Post-War Order – and Where Europe Fits**

The next Gulf order will not be shaped by the region alone. External actors are already deeply embedded in Gulf security, energy, trade, and logistics. The United States remains central, but the assumption that US guarantees alone underpin the operating environment is no longer sufficient.

China has significant energy and commercial interests and has positioned itself diplomatically. Russia remains part of the strategic equation – both sides' satellite intelligence played a role in the conflict. The European Union, the United Kingdom, India, Japan, South Korea, Turkey, Pakistan, and Egypt all matter more than they did before.

For European boards, this is a specific opportunity. Unlike the US, the EU has functional relationships with all eight countries surrounding the Gulf – including Iran, with whom Washington lacked diplomatic relations until recently. The EU's regional representative, Luigi de Mayo, has spent three years building working relationships between European institutions and Gulf business communities. That foundation matters now.

*Iran will require financing to rebuild. The GCC states are the only actors with the financial means to assist – but they will not provide grants without return. What they are looking at is creating economic interdependencies that would prevent the next conflict.*

In a closed session last week with European and Gulf officials, Mehran heard something he found significant: GCC officials explicitly framing the post-conflict moment as one requiring economic architecture – not just security arrangements. The model they are drawing on, implicitly, is Europe's own post-war integration logic: that economic interdependence can prevent the repetition of catastrophic conflict.

The region is not Europe. The countries are not European. The constraints are different. But the European experience of building integration from a starting point of deep enmity is something the Gulf cannot replicate from within. It is, potentially, something European companies and institutions can contribute to.

### **WHERE EUROPEAN COMPANIES HAVE A STRUCTURAL ADVANTAGE**

- Surface-level functional relationships with all 8 Gulf-adjacent countries, including Iran – unlike the US.
- Established EU diplomatic infrastructure in the region, with a dedicated Gulf representative.
- Experience and institutional knowledge in building economic integration frameworks.

- A track record of involvement in post-conflict reconstruction and governance capacity building.
- Growing presence in GCC energy, infrastructure, and logistics – positioned ahead of a post-war reopening.

## 8. Social Cohesion and the Expatriate Question

One of the most striking contributions of the session came from a participant who introduced a concept that the room found immediately recognisable: the “flat calm.” Visiting the UAE in November 2025, before the conflict, she had noticed something that she struggled to name: a sense of unnatural stillness, as though something was held in suspension. Not peace. Not normalcy. A flat calm.

She also observed the demographic reality at close quarters: in the UAE, nationals represent only 8–10% of the population. The rest is an extraordinarily diverse mix of nationalities – Indian, Pakistani, Sri Lankan, Bangladeshi, European, Arab – with no single dominant foreign community. Having worked across multiple countries, including Japan, where she operated successfully despite deep cultural distance, she described experiencing, for the first time, a sense of structural powerlessness as a foreigner in the UAE – not personal, but systemic. A place where, if external pressure arrived, the entire social system could disperse, because very little held it together beyond economic opportunity and the state’s capacity to provide it.

*Is this a vacuum — a system waiting in suspension — or the silence before a storm? The question Philippe put to Mehran, and the one that no board in the room could answer for themselves.*

Philippe sharpened the frame further: was the UAE in November a system holding its breath – a vacuum, reflecting and waiting – or was it the calm before a storm? The distinction matters enormously for corporate strategy. A vacuum implies a system in transition, recalibrating but essentially intact. A pre-storm calm implies that the underlying pressure was already at breaking point, and the stillness was the last moment before rupture.

Mehran’s response was measured but unambiguous. The demographic reality of the UAE – 90–92% non-nationals – cannot change. It is structurally embedded in the Gulf model. The social contract between state and expatriate population is not one of belonging; it is one of mutual utility. The state provides opportunity, safety, and infrastructure. The expatriate provides labour, capital, and consumption. That contract held for decades precisely because the utility was real on both sides. What the war tested is whether utility alone is sufficient to hold a social system together when the environment around it destabilises.

His answer to the vacuum-or-storm question: both, in sequence. The flat calm she observed in November was real – a system that had sensed something coming but had not yet been forced to confront it. The storm arrived in February. What comes next is neither a return to the pre-war vacuum nor a continuation of acute crisis, but a reconfiguration. The question is whether the reconfiguration produces a more resilient system or a more brittle one – and that will depend, in large part, on how the political settlement is structured and how quickly operational normalcy returns.

Mehran noted the work GCC states – particularly the UAE and Saudi Arabia – have invested since the Yemen war in state identity formation: encouraging nationals to express belonging through dress codes, flag display, and cultural institutions. The Yemen conflict made military service and loss visible in a way they had not been before, and that changed the social contract in a meaningful direction. Whether that investment is sufficient to anchor social cohesion through a larger external shock is the open question.

On the question of whether expatriates left during the conflict: Mehran distinguished between tourists and long-term residents. Those travelling through the region sought to leave; those who had built lives, careers, and financial commitments there largely stayed. The longer someone has been in the Gulf, the harder it is to leave – and the more deeply embedded their aspirations in the region's trajectory.

The risk he flagged is subtler: new residency restrictions, deportations of specific population groups (including Shia nationals of third countries perceived as sympathetic to Iran), and a general tightening of the social contract between state and expatriate community. None of this reverses the demographic reality. But it changes the operating context for international firms that depend on human capital drawn from across the world.

## **9. The Three Post-War Scenarios**

When pressed on how the war ends and what that means for corporate planning, Mehran outlined three distinct scenarios – each with materially different implications.

### **SCENARIO 1 – NEGOTIATED COMPREHENSIVE SETTLEMENT**

- A deal addressing Iran-US core issues (nuclear programme, missile production, sanctions removal, unfreezing of assets) plus a separate framework for GCC-Iran relations.
- Probability: meaningful – the ceasefire is fragile, but the costs of sustained war are prohibitive for all sides.
- Corporate implication: rapid normalisation of operations; early movers in regional integration infrastructure are advantaged.



## SCENARIO 2 – PARTIAL CEASEFIRE WITH UNRESOLVED STRUCTURAL ISSUES

- A deal that ends acute hostilities but leaves the underlying architecture unresolved – Hormuz leverage, proxy networks, nuclear ambiguity.
- Probability: the most likely near-term outcome given current negotiating dynamics.
- Corporate implication: operational normalisation with persistent geopolitical risk; the 'new baseline' scenario Mehran described.

## SCENARIO 3 – BREAKDOWN AND RESUMED CONFLICT

- Ceasefire collapses, active hostilities resume. Trump's 'massive life support' framing as of May 12 makes this a non-trivial risk.
- Probability: lower, but not negligible – the negotiating gap between Iran and the US on sequencing (nuclear vs. war termination) remains wide.
- Corporate implication: significant further disruption to Hormuz operations, logistics, and expatriate mobility; full reassessment of Gulf exposure required.

## 10. What Boards Should Do Now

Mehran's closing argument was direct: boards should not wait for a political all-clear. It will come too late to be useful. The right posture is to define, in advance, what kind of change matters enough to trigger action – and to distinguish between passive monitoring and serious governance.

## IMMEDIATE GOVERNANCE ACTIONS

- Define your own decision thresholds – not what to monitor, but what triggers a decision.
- Disaggregate your Gulf exposure by jurisdiction, not by region. The UAE, Qatar, Oman, and Saudi Arabia are different risk environments today.
- Stress-test your Hormuz assumptions: not just closure, but partial disruption, insurance repricing, and routing delays.
- Review your supply chain for food, water, and energy dependencies that pass through GCC desalination and maritime infrastructure.

- Examine your human capital exposure: do residency restrictions or community disruption affect your operational staffing model?
- Identify where your firm sits in the post-war opportunity map – regional integration infrastructure, Iran reconstruction, GCC-EU value chains.

*This is not a moment to abandon the Gulf. It is a moment to stop misunderstanding it. The Gulf remains too important to ignore and too exposed to be managed passively.*

## Closing Synthesis

What Mehran offered was not a briefing on a past event, but a framework for thinking through an ongoing one – at the moment when it matters most for corporate decision-making.

The central argument, taken in full: the Gulf's fragility was always there. What changed is that the assumption of functional insulation – that politics and economics could be separated indefinitely – has been exposed. The region is not going away. The opportunities are real. The post-war moment will likely be one of significant reconstruction, integration, and commercial opening. But firms that arrive at that moment still operating on pre-war assumptions will be operating blind.

The governance imperative is not to reduce exposure to the Gulf. It is to understand it more precisely – by jurisdiction, by sector, by scenario – and to define, in advance, what triggers action.

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